



AUTUMN END SEMESTER EXAMINATION-2023

3rd Semester B.Tech

ECONOMICS OF DEVELOPMENT

HS20120

(For 2023 (L.E), 2022 & Previous Admitted Batches)

Time: 3 Hours

Full Marks: 50

Answer any SIX questions.

Question paper consists of four SECTIONS i.e. A, B, C and D.

Section A is compulsory.

Attempt minimum one question each from Sections B, C, D.

The figures in the margin indicate full marks.

All parts of a question should be answered at one place only.

SECTION-A

1. Answer the following questions: [1 × 10]
- (a) What do you mean by economic development of a country?
 - (b) Write the positive indicators considered by M.D. Morris for constructing the Physical Quality Life Index (PQLI).
 - (c) What do you mean by the term “Laissez-faire”?
 - (d) Show the share of landlord with a suitable diagram as explained by David Ricardo in his theory of development.
 - (e) Give two important arguments to justify that international trade is an engine of economic growth.
 - (f) Write any two important objectives of World Trade Organisation (WTO).

- (g) What is Backwash Effect?
- (h) Write two appropriate examples of positive externality.
- (i) What is Sustainable Development?
- (j) Write two characteristics of public goods.

SECTION-B

2. (a) From the following information for the year 2021-22 [4]
about four countries, calculate their Human Development Index(HDI) and categorize them under very High, High, medium or Low Human Development countries

Countries	Life Expectancy at birth (years)	Expected years of schooling (years)	Mean years of schooling (years)	Gross National income per capital (\$)
Germany	80.6	17.0	14.1	54,534
Brazil	72.8	15.6	8.1	14,370
India	67.2	11.9	6.7	6,590
Pakistan	66.1	8.7	4.5	4,624

Given:

<u>Indicators</u>	<u>Min. Value</u>	<u>Max. Value</u>
Life Expectancy at birth (years)	20	85
Expected years of schooling (years)	0	18
Mean years of schooling (years)	0	15
GNI per capital (\$)	100	75000

- (b) Less developed countries often face a range of challenges that hinder their progress in various aspects including economic growth, education, healthcare and infrastructure. Efforts are needed through targeted development interventions to improve education, healthcare, per capita income and economic opportunities and achieving the well-being of their population. [4]

In this context, discuss Low Level of Living and Extreme Income Inequalities observed in less developed countries.

3. (a) (i) Gini coefficient is the most commonly used measure of income inequality. What do the values of Gini coefficient 0 and 1 indicate? Present these values with the help of Lorenz curve. [4]
- (ii) Draw a Lorenz curve for the country Burundi showing income equalities for the year 2012. Suppose that government of Burundi imposed a tax on the richest 10% people in 2021 and used the proceeds to supplement the income of the poorest members. On the same graph, draw another Lorenz curve for the year 2021 to indicate the distribution of income.
- (b) Development refers to the improvement of well-being and quality of life of a nation over time. The term development is used to describe the economic and social transformation within a country. Economic development is a multi-dimensional concept that goes beyond mere economic growth and is indicative of social, political and environmental aspects. As a development economist you explain the economic forces that determine the economic development of your country. [4]

SECTION-C

4. (a) Adam Smith was a strong advocate of free market and free trade. He recognized the role increasing returns in the growth and development process based on the principle of division of labour. The notion of increasing return based on the division of labour lay at the heart of his optimistic vision of economic progress as a self-generating process. Having understood this, give a proper description to Smith's ideas on Division of labour, Increasing Return, Free Trade and Trade Cycle. [4]
- (b) David Ricardo's ideas on economic development are available in his famous book "Principles of Political Economy and Taxation" in which he predicted that capitalist economies would end up in a stationary state with no growth, owing to diminishing return in agriculture. In Ricardian model like Smith's growth and development are a function of capital accumulation. According to him profits are squeezed between subsistence wages and the rent paid to the landlord. Based on this discussion, clarify the following ideas of David Ricardo on development [4]
- (i) Capital Accumulation
 - (ii) Behaviour of rent, wage and profit with correct diagram
 - (iii) International Trade
5. (a) Thomas Malthus is well known for his work on population growth and its implications for economic development. He predicted that population growth will outstrip food supply. Some developing countries are still showing Malthusian characteristics and some economists predict of Malthusian world in future. It is rightly said that the ghost of Malthus still hunts many developing country today because of his views on population growth. Being the follower of Thomas Malthus, you illustrate the relevant measures suggested [4]

by him to promote economic growth and development of a country.

- (b) W.W.Rostow asserts that countries go through five linear stages of growth. Rostow's doctrine describes the transition from underdevelopment to development by these stages which all countries have to pass through. Rostow penned that all countries exist somewhere on this linear spectrum and climb upward through each stage in the development process. Give a lucid report on Rostow's model of development with special reference to your economy. [4]

6. (a) The Prebisch-Singer thesis explains the terms of trade between primary commodities and manufactured goods. The non-oil exporting developing countries have to export large amount of their primary products in order to import manufactured goods from developed countries. The deterioration of terms of trade has been a major obstructive factor in the development of these developing countries. With this consideration, provide a detailed explanation to Prebisch-Singer thesis on the terms of trade. Will the ISRAEL and HAMAS war in the Middle-East create further deterioration in the terms of trade? [4]

- (b) World Trade Organisation (WTO) is the successor to the GATT and came into existence on January 1, 1995. The Uruguay Round of Trade negotiations gave the final shape to the formation of WTO. The primary mission of WTO is to promote international trade by reducing trade barriers, enforcing trade rules and providing a platform for trade negotiations and dispute settlement among its member countries. Having the idea of manifold roles of WTO in promoting international trade, you elaborate the following roles of WTO. [4]

- (i) Trade Development
- (ii) Dispute Settlement

SECTION-D

7. (a) Population and economic development are interlinked. [4]
Population and environment linkage indicate that population dynamics and environmental conditions influence each other. The growth and distribution of human population have a significant impact on natural environment. Understanding the interplay between population dynamics and environment is crucial for formulating policies that promote sustainable development. Slowing down of population growth rate would help in controlling the intensification of many environmental issues. Under this given condition, write a note on population-environment interactions that impact the economic development of a country.
- (b) Externalities refer to the uncompensated impact of one agent's action on the third parties. These impacts can be positive or negative and may influence individuals, business or society as a whole. Externalities are a type of market failure because the price mechanism in a market does not fully reflect all the costs and benefits associated with a particular economic transaction. keeping in view the various externalities, discuss the government mechanisms to control and adjust externalities. [4]
8. (a) Sustainable development aims at creating sustainable improvements in the quality of life of all people as the principal goal of development policy. Besides increasing economic growth and basic needs, the aim of lifting standard of living including better health, education opportunities, good public life and clean environment are among other objectives of sustainable development. The United Nations has 17 sustainable Development Goals (SDGs). In this connection, you write the goals and objectives of first eight SDGs that leave no one behind in the development process. [4]

- (b) In an economy maximum goods and services should be produced with available resources and technology at a given time. Pigovian analysis is based on the notion that there is a resource allocation problem that can be optimally solved. You explain Pigou's view on resource allocation and intersectoral resource allocation.

[4]
